Candidate Research Questions Using the Shanghai–Shenzhen Monthly Panel

Idea collection for Q1/Q2 economics and finance journals

October 2026

Scope and data inventory

The ideas below are restricted to investor behaviour, expectation formation and forecasting. They are chosen to be feasible with the existing panel and to complement, rather than duplicate, the two ongoing projects: the gambler's-fallacy/streak paper and the out-of-sample EPS forecasting report (SRW, Foster, XGBoost). A check of the cleaned files shows that the panel contains more than the data description lists:

- **Prices and trading:** unadjusted price, total return index, turnover by volume, shares outstanding, book value per share; 3,594 firms, Feb 1991 – May 2021, Shanghai and Shenzhen.
- **Quarterly earnings:** standalone quarterly EPS with exact (daily) publication dates, about FY2001–FY2021. Out-of-sample SRW and XGBoost forecasts are already built in `earnings_prediction`.
- **Analyst consensus (I/B/E/S via Datastream):** monthly 12-month-forward EPS (`eps_12fwd`), trailing EPS, high, low and standard deviation of forecasts. Coverage is 15–35% of firm-months in 2005–2008 and 40–65% from 2009.
- **Factors and risk-free rate:** Liu–Stambaugh–Yuan CH-3/CH-4 factors (MKT, SMB, VMG, PMO), monthly and daily risk-free rate.

Identifier caveat. Firms are identified by Datastream *names* (e.g. "KWEICHOW MOUTAI 'A"'), not by exchange codes. Ideas tagged [IN HAND + EXTERNAL] need a firm-level external merge (preannouncements, daily returns). They require a one-off re-export from Eikon with the local six-digit code or RIC. Ideas tagged [IN HAND] need nothing beyond the current files. Idea 11 uses only a market-wide external series and needs no codes.

Proof-of-concept round (October 2026). Ideas 1–11 (Sections A–C) were tested. The last column of Table 1 summarises the results, and each idea has a folder in `project_ideas/` with the code, outputs and a one-page summary (`summary.pdf`). The PoCs uncovered three data facts that matter for any follow-up: (i) the quarterly EPS is bonus-adjusted to the 2021 share basis while prices and I/B/E/S fields are not; the shared code infers share events from the price and total-return series to convert between the two; (ii) `eps_12fwd` and `eps_12trl` are time-weighted I/B/E/S 12-month blends, not fiscal-year figures, and the "trailing" field partly contains forecasts; (iii) shares outstanding is back-filled in places.

Table 1. Candidate research questions

Unanswered research question	Idea in brief	Necessary data	Relevant papers	What the literature finds / what this research adds	Proof-of-concept results
A. Beliefs about earnings streaks (extensions of the gambler's-fallacy project)					

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Unanswered research question	Idea in brief	Necessary data	Relevant papers	What the literature finds / what this research adds	Proof-of-concept results
1. Do analysts commit the gambler's fallacy? Do sell-side analysts expect streaks of same-sign earnings surprises to reverse, and do their beliefs carry the streak underreaction into prices?	After each quarterly announcement, measure the revision of the consensus `eps_12fwd` (scaled by price) and the subsequent consensus forecast error (realised FY EPS minus forecast). Regress both on SUE interacted with streak length and sign. Under the gambler's fallacy, analysts revise too little after streaks and their errors have the sign of the streak. Then test whether the price drift after streaks is concentrated where analysts under-revise.	[IN HAND] Consensus EPS (2005–2021), quarterly EPS and dates, SUE and streak variables from the gambler's-fallacy pipeline.	Loh and Warachka (2012); Rabin and Vayanos (2010); Chen et al. (2016); Abarbanell and Bernard (1992); Mendenhall (1991); Fan et al. (2024)	*Finds:* investors underreact to earnings streaks, and this is attributed to the gambler's fallacy, but without belief data (Loh and Warachka, 2012). The fallacy is documented among judges, loan officers and umpires (Chen et al., 2016). Analysts underreact to past earnings in general (Abarbanell and Bernard, 1992), and Chinese analysts anchor (Fan et al., 2024). *Adds:* the first direct test of professional forecasters' beliefs over earnings streaks. It separates expected reversal from generic underreaction and supplies a mechanism for the price result in the existing paper.	**Partly supported.** 34k consensus revisions, 2005–20. Analysts do *not* expect streaks to reverse: they revise more per unit of surprise after a streak continuation (+0.016 on 0.010, $t = 4.9$). But their later forecast errors show extra underreaction to streak surprises (+0.10 on 0.21, $t = 4.6$; XGBoost streaks $t = 8.6$), concentrated in streaks of 2–3 and fading at 4+, the Rabin–Vayanos pattern. The price streak effect is weak in a simple specification ($t = 1.5$, covered firms only), so mediation is untested. `idea01_analyst_gamblers_fallacy`
2. Streaks and disagreement Do earnings streaks raise disagreement among investors, as heterogeneous gambler's-fallacy and hot-hand beliefs predict? Does this disagreement explain where the drift occurs?	Rabin and Vayanos (2010) imply that believers in the fallacy underreact to short streaks and overreact to long ones, so a mixed population disagrees more as streaks lengthen. Test abnormal turnover in the announcement and following months, and the change in analyst dispersion (SD, high–low), as functions of streak length and sign, controlling for $\lvert SUE \rvert$. Then condition the streak drift on the disagreement measures.	[IN HAND] Turnover by volume, shares outstanding, `eps_12sd`, high, low, SUE and streaks.	Kandel and Pearson (1995); Garfinkel and Sokobin (2006); Shu and Tan (2022); Rabin and Vayanos (2010); Loh and Warachka (2012)	*Finds:* disagreement drives volume around earnings news (Kandel and Pearson, 1995). Opinion divergence predicts drift in the US (Garfinkel and Sokobin, 2006) and in China (Shu and Tan, 2022). *Adds:* no study links streaks to volume or dispersion. This gives a price-independent test of the behavioural mechanism. Volume in a retail-dominated market mainly reflects retail beliefs, which helps identify them.	**New fact, mechanism unclear.** 97k announcements. Good-news streaks raise abnormal turnover (+4.1% at length 3, $t = 4.2$) and widen the analyst forecast range. Bad-news streaks lower turnover, more the longer they run (−5.4% at length 4, $t = -4.2$), and narrow the range. Disagreement rises only for good-news streaks, which also fits the disposition effect. High turnover does not amplify the streak drift. `idea02_streak_disagreement`
3. Record earnings as a reference point Do investors treat a firm's historical-high ("record") EPS as a reference point, so that surprises crossing the record get a disproportionate reaction?	Define a record quarter as one in which EPS exceeds all previous values for the same fiscal quarter, or a trailing maximum. Compare announcement-month returns and drift for surprises that do and do not break the record, with an RD-style comparison in the distance to the record that controls for SUE. Also test "near misses" just below the record.	[IN HAND] Quarterly EPS histories, returns, SUE.	Degeorge et al. (1999); Burgstahler and Dichev (1997); George and Hwang (2004); Li and Yu (2012); Birru (2015)	*Finds:* firms manage earnings around zero, last year's EPS and the consensus (Degeorge et al., 1999; Burgstahler and Dichev, 1997). Price anchors such as the 52-week high and the index's historical high predict returns (George and Hwang, 2004; Li and Yu, 2012). *Adds:* a firm-level *earnings* anchor, as opposed to a price anchor, has not been tested as a source of reference-dependent reactions and drift. The record is salient in Chinese financial media, which makes the setting natural.	**Partly supported.** 96k reports, regression discontinuity at the trailing-EPS record. There is no jump and no bunching at the record. But beyond the surprise, returns become steeper in the distance above the record, mostly over the next three months (kink 1.5–3.1% per SD, $t \approx 2.7$), with no kinks at placebo cutoffs below it: underreaction to news that breaks the record. The effect is local, flattening beyond 1 SD, and size is imbalanced at the cutoff ($t = 3.3$). `idea03_record_earnings`
B. Expectation formation and forecasting					

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Unanswered research question	Idea in brief	Necessary data	Relevant papers	What the literature finds / what this research adds	Proof-of-concept results
4. Whose expectations do Chinese prices reflect? Do A-share prices embed naive (seasonal random walk), statistical (ML) or analyst earnings expectations, and does this depend on retail dominance?	Compare the SRW, XGBoost and analyst-based surprises in explaining announcement-month returns. Decompose the SRW surprise into an ML-predictable part, known before the announcement, and the ML surprise. If the predictable part still moves prices at the announcement and predicts drift, prices reflect naive expectations, as in Bernard–Thomas. Implement a pre-announcement long–short portfolio on the ML-predicted SRW surprise. Split the sample by size, analyst coverage and turnover.	[IN HAND] Plus the existing out-of-sample forecasts of the earnings-prediction project.	Bernard and Thomas (1990); Ball and Bartov (1996); Campbell et al. (2026); Hunt et al. (2022); Chen et al. (2022a)	*Finds:* US prices partly reflect naive SRW expectations (Bernard and Thomas, 1990; Ball and Bartov, 1996). ML forecasts proxy for market expectations only under some specifications (Campbell et al., 2026). ML earnings predictions yield abnormal returns in the US (Hunt et al., 2022; Chen et al., 2022a). *Adds:* the first look-ahead-free test in China of which expectation model the market uses, in a setting where naive expectations are most plausible. It builds directly on the forecasts already produced.	**Partly supported; reframed.** 104k announcements, 2005–20. In the announcement month prices react to the XGBoost surprise (0.73, $t = 9.7$) but hardly to the part XGBoost predicted beforehand (0.11, $t = 0.9$), so they do not reflect naive SRW expectations. However, that predictable part drives returns before the announcement and predicts the 3-month drift as strongly as the surprise does (0.60, $t = 3.5$): predictable information is priced slowly. The pre-formed strategy is weak (CH-4 $\alpha = 0.45\%$, $t = 1.5$). `idea04_whose_expectations`
5. Machine benchmark for Chinese analysts Are Chinese analysts' forecasts conditionally biased relative to a look-ahead-free ML benchmark? Does the bias predict returns, and with which sign?	Extend the XGBoost model to the annual horizon, dated monthly to match the consensus. Define the bias as (analyst − ML)/price. Form portfolios and run Fama–MacBeth regressions with CH-3/CH-4 alphas. Also study "man + machine": when do analysts add information beyond the model?	[IN HAND] `eps_12fwd`, annual EPS; the ML pipeline needs an annual-horizon target.	van Binsbergen et al. (2023); Zhang et al. (2025); Liu et al. (2023); Cao et al. (2024); Campbell et al. (2026)	*Finds:* in the US, analyst bias relative to ML predicts *negative* returns (van Binsbergen et al., 2023), but the alpha is attributed to look-ahead bias (Zhang et al., 2025). In China, analysts' growth forecasts and their deviation from a statistical benchmark predict returns *positively* (Liu et al., 2023). *Adds:* a clean, rolling ML benchmark that reconciles the opposite signs, and evidence on where human analysts add value in an emerging market. *Risk:* Liu et al. (2023) is close, so the contribution must be the ML benchmark and the look-ahead-free design.	**Supported, with the US sign.** XGBoost without analyst input beats the consensus (MAE 1.02% vs 1.19% of price). Analysts are optimistic by 0.66% of price. Analyst-minus-ML bias predicts lower returns (EW CH-4 $\alpha = -0.83\%$/month, $t = -3.0$; FM $t = -3.0$), the opposite sign to Liu et al. (2023). The raw spread is insignificant, and the test needs FY-level I/B/E/S. `idea05_ml_analyst_bias`
6. Sticky expectations and the profitability anomaly Can sticky analyst expectations explain the profitability (ROE) anomaly in Chinese stocks?	Follow Bouchaud et al. (2019). Estimate stickiness from consensus forecast errors on forecast revisions. Test whether consensus errors are predictable from current ROE, and whether the profitability premium is larger where expectations are stickier and profits more persistent.	[IN HAND] EPS and book value (ROE), `eps_12fwd`, CH-4 factors.	Bouchaud et al. (2019); Coibion and Gorodnichenko (2015); Bordalo et al. (2020); Li and Li (2025); Liu et al. (2019)	*Finds:* in the US, stickiness explains the profitability anomaly (Bouchaud et al., 2019). In China, consensus forecasts underreact and individual analysts overreact (Li and Li, 2025), but that study does not link expectations to returns. *Adds:* the first China test of the sticky-expectations explanation of an anomaly. The asset-pricing link is what makes it publishable beyond Li and Li (2025).	**Mixed.** The consensus underreacts (CG slope 0.14, $t = 2.5$; 0.28 where revisions are autocorrelated). The profitability premium exists (Q5−Q1 0.90%/month, $t = 3.3$), and analysts are relatively pessimistic about profitable firms ($t = 2.0$). But stickiness does not change the premium. Side finding: ROE built from the I/B/E/S trailing field reverses sign, reflecting analyst optimism. Needs analyst-level data; could merge with Idea 5. `idea06_sticky_expectations`

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Unanswered research question	Idea in brief	Necessary data	Relevant papers	What the literature finds / what this research adds	Proof-of-concept results
7. The fourth-quarter earnings dip Do analysts and investors anticipate the systematic fourth-quarter earnings shortfall of Chinese firms?	Document Q4 EPS relative to the Q1–Q3 run rate. Test whether the consensus FY forecast made in Nov–Jan, after the Q3 report, is too high by a predictable amount (firm's past Q4 pattern, size, loss history). Test whether an ML forecast of the dip predicts returns around the annual report.	[IN HAND] Quarterly EPS and dates, consensus EPS.	Das et al. (2009); Jacob and Jorgensen (2007); Kapons and Binz (2024); Lin and Lai (2020); Fan et al. (2015)	*Finds:* Q4 earnings reverse and are managed in the US and Taiwan (Das et al., 2009; Jacob and Jorgensen, 2007; Lin and Lai, 2020). US Q4 earnings are about half the Q1–Q3 average (Kapons and Binz, 2024). Chinese firms manage earnings around regulatory thresholds (Fan et al., 2015). *Adds:* no China study of whether the seasonal dip is anticipated. This is a concrete forecasting question that tests for a predictable bias in analysts' forecasts and checks whether prices correct it.	**Not supported as stated.** There is no structural Q4 dip in China: about half of firms fall below their Q1–Q3 average in normal years. Dips cluster in bad years (2008; the 2018 goodwill wave) and in loss firms, and neither SRW nor XGBoost is biased for Q4. A narrow result remains: a large dip last year lowers returns at the annual report ($t = 4.9$). The analyst test needs FY consensus. `idea07_q4_dip`
8. Do LLM forecasters inherit the gambler's fallacy? Do LLM earnings forecasts, given anonymised earnings histories, show human expectation biases? Are they a useful proxy for retail investors' expectations?	Feed anonymised EPS sequences, with no names or dates, to one or more LLMs and elicit next-quarter EPS or its direction. Measure responses to streaks and reversals. Compare accuracy and bias with XGBoost and analysts. Test whether the "LLM surprise" explains returns better than statistical surprises, treating the LLM as a synthetic naive investor.	[IN HAND] Plus LLM API access (paid; Claude or an open-weight model).	Kim et al. (2024); Lopez-Lira and Tang (2023); Bybee (2023); Glasserman and Lin (2024); Cao et al. (2026)	*Finds:* LLMs can analyse financial statements and predict earnings direction (Kim et al., 2024). LLM expectations resemble human survey expectations (Bybee, 2023). Look-ahead leakage is a key threat (Glasserman and Lin, 2024), and ChatGPT is biased on Chinese firms (Cao et al., 2026). *Adds:* whether LLMs reproduce the gambler's fallacy in a real forecasting task is open. Anonymisation addresses leakage. *Risk:* a fast-moving field; likely venues are top field journals rather than the top three finance journals.	**Not supported as stated.** 320 anonymised EPS histories, stratified by streak; Claude Haiku and Sonnet via the CLI ($3.65). Neither model shows the gambler's fallacy. Haiku is conservative: its probabilities stay at 46–59% and barely move with streaks. Sonnet extrapolates at about two-thirds of the realised slope ($t = 3.9$) and has a lower median point error than XGBoost (36.4 vs 39.8). Underreaction shrinks with model capability; the protocol is reusable. `idea08_llm_gamblers_fallacy`
C. Attention and information processing					
9. Bundled annual and Q1 reports When a firm releases its annual report and Q1 report together (late April), do investors neglect one of the two earnings signals?	Identify same-day and same-week bundles from `date_q4` and `date_q1`. Compare the price response and drift for each surprise when bundled and when released separately. Test which signal is neglected (salience of the annual report against recency of Q1). Examine whether firms bundle strategically when one signal is bad.	[IN HAND] Exact dates and both surprises. Daily returns via Eikon would sharpen the announcement window [IN HAND + EXTERNAL].	Hirshleifer and Teoh (2003); Hirshleifer et al. (2009); DellaVigna and Pollet (2009); You and Zhang (2011); Cohen and Lou (2012)	*Finds:* limited attention weakens immediate reactions and strengthens drift, including in China, where same-day clustering across firms has this effect (Hirshleifer et al., 2009; You and Zhang, 2011). *Adds:* two signals from the *same* firm at once give a within-firm test of limited attention, cleaner than cross-firm clustering. China's reporting calendar makes this case common, and the existing project already flags it as a data issue.	**Supported.** 24k firm-years; same-day bundling rose from 4% to 49%. When the reports are bundled, the response to the annual surprise roughly halves (0.56 to 0.29, $t = -3.1$; SRW $t = -3.4$), while the Q1 response is unchanged. There is no significant extra drift. Firms with bad annual news bundle more (+3.7–5.3 pp, $t \geq 5.6$). Most promising in C. `idea09_bundled_reports`

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Unanswered research question	Idea in brief	Necessary data	Relevant papers	What the literature finds / what this research adds	Proof-of-concept results
10. Disposition effect and earnings news Does the capital-gains overhang of the (largely retail) shareholder base set the speed at which earnings news and streaks enter prices?	Build the turnover-weighted reference price of Grinblatt and Han (2005) from monthly prices and turnover and compute the capital-gains overhang (CGO). Test whether drift is strongest when the news and the CGO have the same sign (Frazzini, 2006). Extension: positive-streak stocks tend to carry gains, so CGO is also an alternative explanation, or channel, for the streak result.	[IN HAND] Price, turnover, shares outstanding, SUE.	Shefrin and Statman (1985); Grinblatt and Han (2005); Frazzini (2006); An (2016); Chen et al. (2022b)	*Finds:* in the US, drift is largest when the news and unrealised gains share a sign (Frazzini, 2006). In China, retail attention raises drift, especially near the 52-week high (Chen et al., 2022b). *Adds:* no direct China test was found. High turnover makes a turnover-based reference price more accurate in China than in the US. The test doubles as a robustness check for the gambler's-fallacy paper.	**Partly supported.** 96k announcements. The PEAD spread rises with the capital-gains overhang, from 1.5% to 2.6% over three months (difference 1.1%, $t = 2.0$), driven by good news on stocks with gains. Bad news on losers does not drift more, and the continuous FM interaction is insignificant. CGO does not explain the streak result. Better as a mechanism or robustness section. `idea10_disposition_cgo`
11. Waves of inexperienced investors Is underreaction to earnings (PEAD and streak underreaction) stronger when many new, inexperienced investors enter the market?	Use monthly new A-share account openings as a time series. Interact them with SUE, and with SUE × streak, in Fama–MacBeth regressions, or regress the monthly PEAD long–short return on account growth. Compare the 2007, 2015 and 2020 entry waves.	[IN HAND] Plus market-wide monthly new-account statistics (CSDC, public; also via akshare/Eastmoney). No firm codes needed.	Greenwood and Nagel (2009); Gao et al. (2023); Sun and Wen (2023); Chen et al. (2022b); Liao et al. (2022)	*Finds:* inexperienced investors amplify bubbles (Greenwood and Nagel, 2009). In China, new investors' entries and net buying predict negative returns and explain daily momentum (Gao et al., 2023). Drift is larger in high-sentiment periods (Sun and Wen, 2023). *Adds:* the processing of earnings news as a function of investor inexperience has not been studied. The identification is simple and the data are easy to obtain.	**Not supported.** New-investor inflow (CSDC, 2015–20, 48 announcement months) and an abnormal-turnover proxy (2005–20) do not change the announcement response or the drift. If anything, drift is weaker in high-inflow months (0.08% vs 1.08%). Needs the pre-2015 weekly series. Lowest priority in C. `idea11_new_investors`
D. Disclosure regulation					
12. Mandatory earnings preannouncements Does China's mandatory preannouncement rule, triggered by a change in net income of 50% or more, speed up price discovery and reduce PEAD?	Run a fuzzy regression discontinuity around the +50% threshold of the year-on-year earnings change. Firms just above it must preannounce in January; firms just below need not. Compare announcement reactions and drift after the formal report. Use the +50% side because bunching is documented at −50%.	[IN HAND + EXTERNAL] Preannouncement records (CNINFO or Eastmoney via akshare); requires stock codes.	Kasznik and Lev (1995); Fan et al. (2015); Lee and Lemieux (2010)	*Finds:* firms manipulate earnings to avoid the −50% trigger but not at +50% (Fan et al., 2015). Mandatory forecasts carry information. *Adds:* no RD estimate of the rule's effect on price efficiency was found. This is policy-relevant evidence on mandatory early disclosure in a retail market.	*Not tested in this PoC round.* Section D; needs stock codes.

Table 2. Ideas screened out (largely answered, or not feasible with these data)

Question	Why dropped	Key reference
Same-day announcement clustering and distraction in China	Weaker immediate reaction and stronger drift already shown for China. Idea 9 keeps only the within-firm bundling angle.	You and Zhang (2011); Shu and Tan (2022)
Weekday and holiday announcements	Weekday and concentration effects and a Tomb-Sweeping Day study already exist for China, and monthly returns are too coarse.	You and Zhang (2011)
Stock Connect inclusion and PEAD	Several studies show PEAD declines after the Shanghai and Shenzhen Connect launches.	Cai et al. (2021) (institutions); Connect event studies

Question	Why dropped	Key reference
Earnings-announcement premium and CAR predictability	Documented internationally and for China.	Barber et al. (2013); Sun and Wen (2023)
Late announcements as bad news	Documented in the US, and partly for China. Timing could instead be a feature in the ML forecasts (Idea 4).	Wang et al. (2008)
Analyst dispersion and short-sale constraints	The 2010 margin pilot's effects on analyst forecasts and price efficiency are documented.	Chang et al. (2014); Li et al. (2019)
ML return prediction in China	Comprehensively done.	Leippold et al. (2022)
Salience-theory and MAX/lottery effects	Done internationally, including China.	Cakici and Zaremba (2022); Nartea et al. (2017)
Consensus information rigidity (CG regressions) alone	Done for China. Kept only through the asset-pricing link (Idea 6).	Li and Li (2025)
Nominal EPS illusion after bonus-share issues	Not feasible: in the panel, `basiceps` equals the adjusted `eps` in 99.8% of cases, so headline and adjusted EPS cannot be separated.	Shue and Townsend (2021)

Status after the proof-of-concept round

Strongest results. Idea 9 (bundled reports) gives a new, clean attention test with a robust first result: the response to the annual surprise halves when it is released with the Q1 report, plus a strategic-bundling angle. **Idea 5** (machine benchmark for analysts) gives a significant, US-signed conditional-bias alpha that contradicts the existing China evidence. **Idea 4** (whose expectations) is best reframed as slow incorporation of predictable earnings information.

Useful but secondary. Idea 6 (stickiness is confirmed, but it does not explain the profitability anomaly; it could merge with Idea 5). Idea 10 (an upside-only disposition effect in PEAD; best as a mechanism or robustness section). Idea 8 (no gambler's fallacy in LLMs, but a reusable, leakage-robust protocol and a capability gradient).

Weak on these data. Idea 7 (no structural Q4 dip) and Idea 11 (no effect of new-investor waves; the series is too short).

Section A. Idea 1 is the strongest. Analysts underreact more to short streaks, though they do not expect reversals, which makes a natural mechanism section for the gambler's-fallacy paper. Idea 3 finds a new earnings anchor (an underreaction kink at the record) worth a daily-data follow-up. Idea 2 gives a robust volume asymmetry whose interpretation is open.

Main data upgrades. Daily returns and six-digit stock codes from Eikon (Ideas 4, 9, 12), fiscal-year I/B/E/S consensus with analyst counts and detail data (Ideas 1, 5, 6, 7), and the pre-2015 CSDC weekly series (Idea 11). Section D (Idea 12) remains untested.

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